

6

months
the length of time
a product can be
labelled as "new"

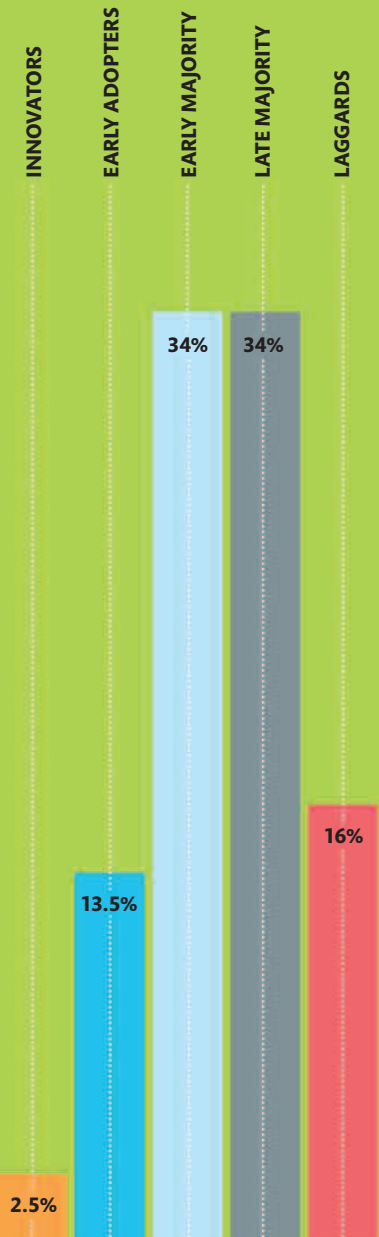


Withdrawal

The product is phased out as sales stall or continue to fall. The business introduces a replacement product before the old one is withdrawn.

Diffusion of innovation (consumer uptake) %

Marketers identify five distinct customer types according to how quickly they pick up on a new product.



NEED TO KNOW

- › **Extension strategy** Revival of a product by rebranding, or repackaging, repricing it, or finding new markets
- › **Portfolio analysis** Each of a company's products measured by growth rate and market share to determine marketing spend
- › **Product life cycle management (PLM)** Tracking of product data from inception to withdrawal

PORTFOLIO ANALYSIS



Rising stars

Products with a high market share in a high-growth market; they require a big marketing spend to keep them growing.



Cash cows

Products with a high market share in a low-growth market; they generate money to support rising stars.



Problem children

Products with a low market share in a high-growth market; they need a big marketing spend.



Dogs

Products with low market share and low growth; they may stay in portfolio to keep customers happy.